

around. This results in one thing always going down while something else is going up, so the best we can ever do is break even.

Mr. Loeb argues this point so intelligently that by the end of his first chapter I was convinced that diversification was the cause of many of my earlier troubles. I decided right then to sink my entire \$16,500 stake into the first profitable opportunity that came along.

That decision lasted as long as it took to put down Mr. Loeb's work and pick up *Money Angles*, written by Andrew Tobias. It is odd to find a new investment book written by a man who earlier wrote *The Only Investment Guide You'll Ever Need*, but Mr. Tobias has a keen mind and should be allowed to change it. On page 23 of *Money Angles* Mr. Tobias offers his ironclad first rule—"buy low, sell high"—which I'd always ignored in favor of the reverse. Then on page 25, he gives an ironclad second rule: "Diversify." "It's remarkable how many of us chickens manage inadvertently to have most of our eggs you know where," writes Mr. Tobias.

This was 180 degrees from Mr. Loeb's position. I might have ignored it, except that Mr. Tobias gives example after example of irrefutable evidence. He tells enough horror stories of stocks and bonds that suffered unexpected mishaps, of companies suddenly gone bankrupt, of investors who lost their life savings on a single bad investment that Mr. Loeb's one-basket theory seemed not only foolhardy, but suicidal. I promised myself then and there that I'd spread my money around in numerous baskets.

After returning *Money Angles* to its hole in the shelf I made a frantic riffle through dozens of other how-to books, searching for the guiding principles offered by other experts of stature equal to Mr. Tobias and Mr. Loeb. To save you the same trouble, I've summarized the results in the following list. It's a comprehensive review of all the time-tested rules of investing from the best minds on Wall Street. For easier reference, I've arranged these in pairs:

1. Be patient, never panic.
2. Be nervous, keep a close watch.